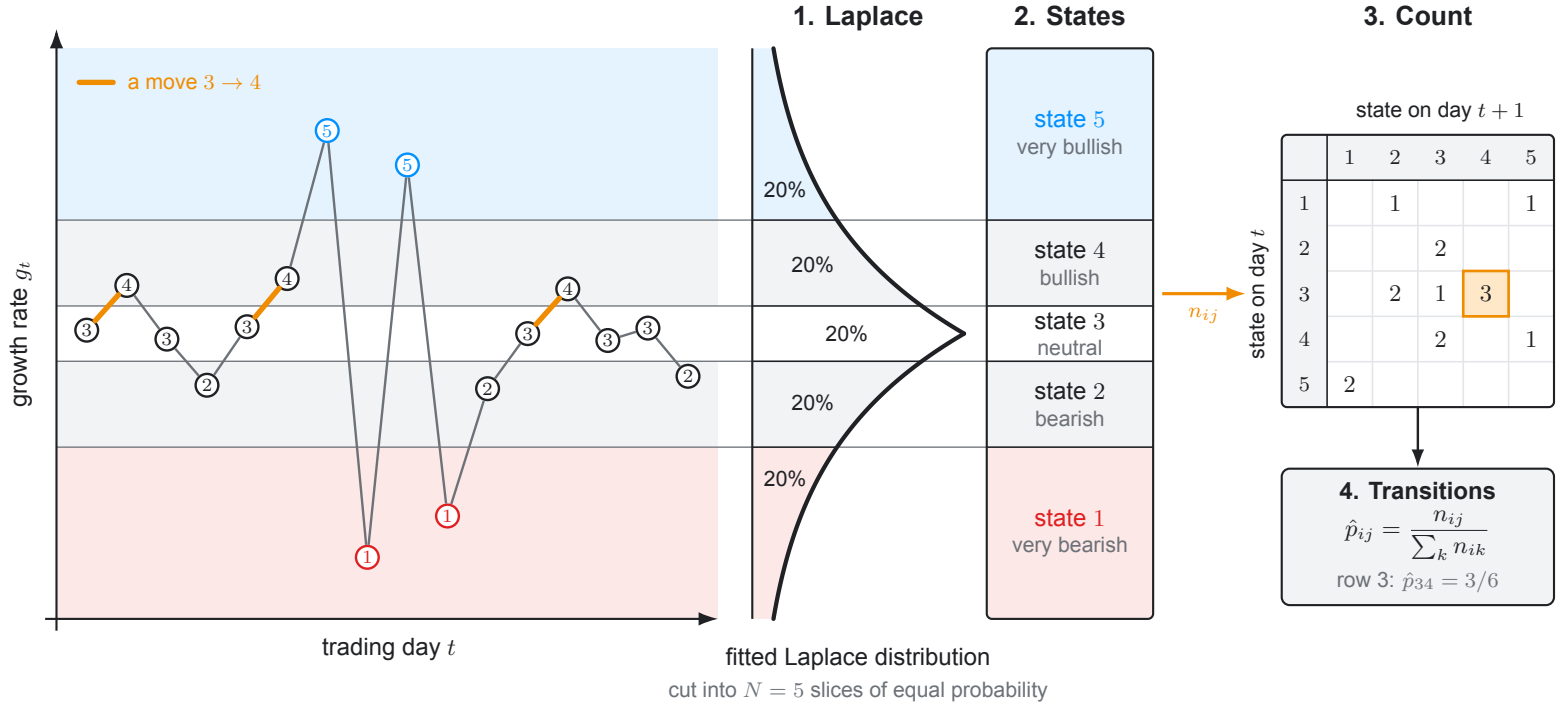
1. Laplace
2. States
3. Count
a move 3 → 4
growth rate g_t
trading day t
20%
20%
20%
20%
20%
state 5
very bullish
state 4
bullish
state 3
neutral
state 2
bearish
state 1
very bearish
fitted Laplace distribution
cut into $N = 5$ slices of equal probability
n_{ij}
state on day t
state on day $t+1$
4. Transitions
$\hat{p}_{ij} = \frac{n_{ij}}{\sum_k n_{ik}}$
row 3: $\hat{p}_{34} = 3/6$